DOE Mandate on Relaxation of Prior Turnover and Prior Experience for Startups and MSEs

Issuing Authority: Department of Expenditure, Ministry of Finance, Govt. of India

1. GFR Rule 173(i) Non-Negotiable Mandate

Under Rule 173(i) of General Financial Rules (GFR), 2017, all Central Ministries and CPSEs are directed to relax conditions of prior turnover and prior experience for all registered Micro and Small Enterprises and DPIIT-recognized Startups in all public procurements, subject to meeting technical specifications.

2. Quality and Technical Capability Criteria

Procuring authorities cannot disqualify an MSE bidder merely for lack of prior sales volume or historical supply track record, provided the MSE demonstrates technical capability and quality standards (e.g. BIS certification, ZED rating, or manufacturing facility inspection).

3. Elimination of Tender Value Caps

The relaxation applies to tenders of all values where the item is capable of being manufactured or supplied by MSEs. Splitting of tender quantities (up to 25% allocation to MSEs matching L1) is mandatory across applicable goods and services.

4. Grievance Escalation via Sambandh Portal

MSEs encountering tenders that unlawfully demand prior turnover or experience conditions can lodge immediate complaints on the MSME Sambandh portal, triggering departmental reviews of tender specifications.